

# Provisional: regression outputs — reform-window DDD (DA15 + IDA15)

MTU15 thesis companion (design NOT pinned down)

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**Status.** *This file collects the current reform-window DDD outputs. The identification design is being iterated — the descriptive foundations live in a sibling document and the framing of “heterogeneity vs treatment/control”, covariate choice, and session-choice for the IDA outcomes is still in flux. Read the numbers here as the current state of play, not as final results.*

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## 1 Reform-window identification (DA15 + IDA15)

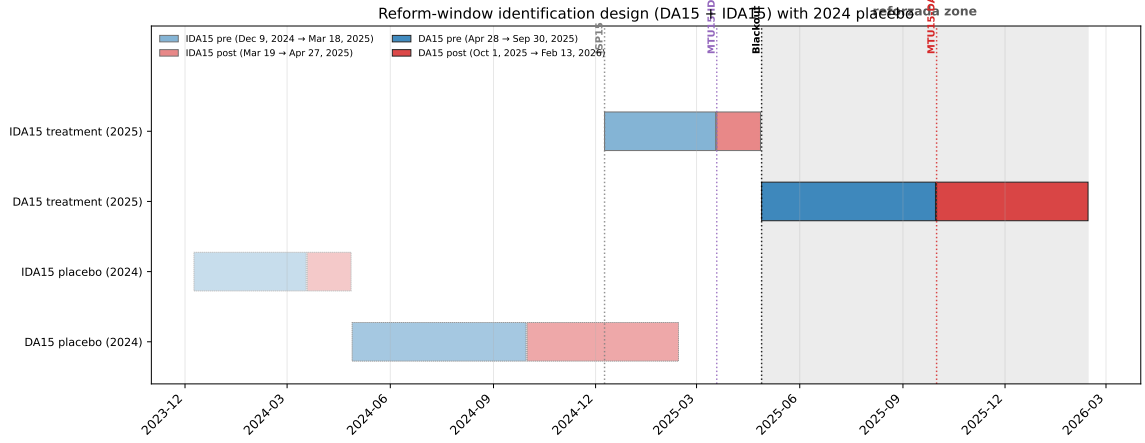
The headline thesis question is the effect of **MTU15 granularity** on strategic bidding. Reforzada (the post-blackout RT2 pay-as-bid + zonal-monopoly windfall channel documented in the descriptive companion, Part B) is a parallel *confounding* mechanism — analogous in spirit to the operational/solar midday channel in the main paper (main paper §2.4): a real economic phenomenon that we want to characterise but *exclude from the identifying contrast* so as not to mix channels. This section’s design picks reform windows in which reforzada is held constant, then differences out residual seasonality via a 2024 placebo.

**Design.** Two reform-windows, each chosen so that reforzada is constant within both the pre- and post-treatment sub-windows:

**Table 1:** Reform-window design. Reforzada is the post-blackout RT2 pay-as-bid regime (active 2025-04-28 onward). The 2024 placebo uses calendar-matched dates. PT assumption: YoY seasonal change in (crit – flat) was the same in 2024 as in 2025.

| Reform / sample      | Pre-window              | Post-window             | Reforzada | Length pre/post |
|----------------------|-------------------------|-------------------------|-----------|-----------------|
| <b>IDA15 (2025)</b>  | 2024-12-09 – 2025-03-18 | 2025-03-19 – 2025-04-27 | off       | 100 / 40 d      |
| IDA15 placebo (2024) | 2023-12-09 – 2024-03-18 | 2024-03-19 – 2024-04-27 | off       | matching        |
| <b>DA15 (2025)</b>   | 2025-04-28 – 2025-09-30 | 2025-10-01 – 2026-02-13 | on        | 155 / 135 d     |
| DA15 placebo (2024)  | 2024-04-28 – 2024-09-30 | 2024-10-01 – 2025-02-13 | off       | matching        |

The temporal design holds reforzada constant within each window (on for DA15, off for IDA15), and the 2024 placebo absorbs YoY seasonality that the within-day DiD alone could not. Each pre-window is  $\geq 3$  months; DA15 has 5 months post-reform.



**Figure 1: Timeline of reforms and DDD windows.** Vertical guides: ISP15 (2024-12-09), MTU15-IDA (2025-03-19), Iberian blackout (2025-04-28), MTU15-DA (2025-10-01). Shaded grey: reforzada zone. Blue bars: pre-reform sub-windows; red bars: post-reform. 2024 placebo rows shown with lighter shading.

**Triple-difference specification.** Let  $Y_{f,u,d,h}$  be the outcome at firm  $f$ , unit  $u$ , date  $d$ , clock-hour  $h$ . Define  $\text{crit}_h = 1$  if  $h \in \{5-9, 16-22\}$  (treated hour-class), restrict sample to  $\{\text{crit}, \text{flat}\}$ . Let  $\text{post}_d = 1$  if  $d$  is after the reform date,  $y25_d = 1$  if  $d$  falls in the 2025 (treatment) window. Then:

$$Y_{f,u,d,h} = \alpha + \beta_1 \text{crit}_h + \beta_2 \text{post}_d + \beta_3 y25_d + \beta_4 (\text{crit} \times \text{post}) + \beta_5 (\text{crit} \times y25) + \beta_6 (\text{post} \times y25) + \boxed{\beta_7 (\text{crit} \times \text{post} \times y25)} + \gamma_f + \mu_u + \delta_{\text{DOW}(d)} + \varepsilon_{f,u,d,h}. \quad (1)$$

$\beta_7$  is the headline coefficient: the change in the (critical – flat) differential at the reform date, *net of* the corresponding 2024 seasonal change. FE: firm  $\gamma_f$  + unit  $\mu_u$  + day-of-week  $\delta_{\text{DOW}}$ . SE clustered at the date level. Equivalently  $\beta_7 = \Delta\Delta Y^{2025} - \Delta\Delta Y^{2024}$  where  $\Delta\Delta Y = (\bar{Y}_{\text{post,crit}} - \bar{Y}_{\text{post,flat}}) - (\bar{Y}_{\text{pre,crit}} - \bar{Y}_{\text{pre,flat}})$ .

**Event-study spec (visual pre-trends).** For each outcome, plot the monthly differential separately for the 2025 treatment year and the 2024 placebo year, anchored to  $\tau = \text{months from the reform date}$ :

$$\Delta Y_{\tau,y} = \bar{Y}_{\text{crit}}(\tau, y) - \bar{Y}_{\text{flat}}(\tau, y), \quad y \in \{2024, 2025\}.$$

Identifying assumption test: for  $\tau < 0$  the two series should overlap (parallel pre-trends); at  $\tau \geq 0$  the 2025 series diverges from the 2024 series by exactly the treatment effect.

**Identifying assumptions.** *Formal PT (triple-difference).*

$$\mathbb{E}[\Delta\Delta Y(0) \mid y25 = 1] = \mathbb{E}[\Delta\Delta Y(0) \mid y25 = 0],$$

where  $\Delta\Delta Y(0)$  is the untreated within-day pre/post change in the critical-flat differential.

*Threats killed by the design.*

- *Seasonality of the critical-flat spread* (summer-to-winter heating/AC patterns): differenced out by the 2024 placebo on the same calendar months.
- *Day-level cost shocks* (TTF gas, CO<sub>2</sub>, demand spikes): within-day differencing on each date absorbs anything that hits both hour-classes proportionally.

- *Asymmetric gas-cost confound*: ruled out empirically in main paper §2.4 — CCGT price-setting share 9.1% crit vs 9.0% flat, so TTF shocks cannot propagate asymmetrically.
- *Operational midday channel* (solar drives prices down at midday): midday hours  $\in \{11-14\}$  excluded from the control set; only flat hours  $\in \{1, 2, 3\}$  enter as control.
- *Reforzada / RT2 pay-as-bid windfall*: held constant within each window by design (the central insight). Characterised as a confounder in the descriptive companion, Part B (REE post-clearing CCGT inclusion, geographic CCGT concentration, Cournot reading + CNMC sanctions).

*Threats remaining.*

- *Within-firm portfolio composition shifts*: addressed by unit FE; sensitivity check restricts to units active in both years.
- *Reform-anticipation effects*: tested by the event-study leads  $\beta_\tau$  for  $\tau \in \{-1, -2\}$ .

**What this DDD identifies (and what it does not).** The within-day differencing on (crit – flat) absorbs day-level common shocks; the 2024 placebo absorbs YoY seasonal variation in the spread itself. Whether the identified parameter is the *differential* reform effect or the *absolute* effect on critical hours depends on whether flat hours are exposed to MTU15. This is a market-specific empirical question; the existing project evidence (descriptive companion,  $D_w$  decomposition section, DA Oct–Dec 2025) shows:

- **DA market**: flat hours show essentially zero within-hour granularity activity (GN, GE, HC: 0%–0.05% on both  $\Delta p$  and  $\Delta q$  channels; IB: 0.89%/1.03%, an order of magnitude below its critical-hour shaping). Critical hours, by contrast, show GN at 18.4%  $\Delta q$ -active. Flat hours are approximately MTU15-untreated for CCGT bidding. *The DA-cell DDDs on prices and on  $q_1$  should therefore be read as close to the absolute critical-hour effect, not a within-day differential between two treated arms.*
- **IDA market** (pre-blackout, see descriptive companion): flat-hour cell activity is 7–21% across pivotal firms, against critical-hour 9–30%. Both hour-classes show within-hour activity in the IDA. *The IDA-cell DDD identifies a true differential, not an absolute effect on critical hours.*

Same logic for pivotal-vs-non-pivotal in the  $D_w$  decomposition: the table only breaks out the four pivotal firms because non-pivotal CCGT participation in the relevant zones is negligible. For granularity-driven outcomes the non-pivotal-as-control reading is more defensible than for aggregate outcomes like  $q_2$ , where the older 2-way DiD in the main paper’s appendix shows non-pivotal firms do respond (with sign reversal). The framing is outcome- and market-specific: closer to treatment/control for DA-granularity-shaping outcomes, closer to heterogeneity for IDA and for aggregate  $q_2$ .

**Heterogeneity decomposition by pivotal firm status.** For firm-level outcomes ( $q_1$ ,  $q_2$ ) we report the DDD twice: pooled over the CCGT sample, and decomposed by pivotal status (Big-4: IB, GE, GN, HC, EDP-PT; non-pivotal: Repsol, Engie, TotalEnergies, Moeve). The decomposition is a *heterogeneity analysis*, not a fourth difference: non-pivotal CCGT firms are exposed to the same MTU15 reform as pivotal firms and the older 2-way DiD in the main paper’s appendix in fact shows them responding (the  $q_2$  sign on (crit  $\times$  post) reverses between pivotal and non-pivotal subsamples). We do not assume they are an “untreated control”; we read the contrast as how the reform’s effect varies with market power. Operationally this is implemented as a saturated OLS-FE regression with all crit/post/y25/pivotal interactions (the pivotal main

effect is firm-invariant and absorbed by  $\gamma_f$ ), yielding a coefficient on  $(\text{crit} \times \text{post} \times \text{y25} \times \text{piv})$  that is mathematically the difference of the two sub-sample DDDs. We label it  $\delta_{\text{piv}}$  rather than  $\beta_{1234}$  to make the heterogeneity-not-fourth-difference reading explicit:

$$\delta_{\text{piv}} \equiv \widehat{\text{DDD}}_{\text{pivotal}} - \widehat{\text{DDD}}_{\text{non-pivotal}}.$$

SE clustered at the firm level (pivotal does not vary within firm;  $G \approx 9$  — wild-cluster bootstrap as a robustness step is flagged below). The DDDD-style name and the "quadruple difference" framing previously used in this section have been retired: in light of the credibility-quadratic-in-differences argument (Roth, paraphrased in Borusyak's lecture notes), and given the empirical evidence that non-pivotal firms are not a clean control, the heterogeneity-decomposition interpretation is the only one we sustain.

**Outcomes and joint  $q_1/q_2$  sign-quadrants.** Two firm-level quantity outcomes and two market-level price outcomes. The firm-level pair is informative *only when read jointly*:  $q_1$  (DA-cleared MWh) and  $q_2$  (signed intraday MWh) jointly characterise the firm's strategic posture, with each  $(\text{sign}(\beta_{q_1}), \text{sign}(\beta_{q_2}))$  quadrant mapping to a distinct economic narrative. Table 2 lays this out.  $D_w$ ,  $\Delta p$ ,  $\Delta q$  are *not* DDD outcomes because they require within-hour quarters that do not exist pre-MTU15; they appear as post-only cross-section in the descriptive companion ( $D_w$  decomposition and  $D_w$  distribution sections).

**Table 2:** Joint  $(q_1, q_2)$  sign quadrants and the firm-behaviour narrative each implies. The DDD coefficient on critical-flat-spread for each quantity outcome gives the row/column sign. Each cell is a coherent story about how dispatchable firms responded to the reform; only one is realised in the data.

|                                     | $\beta(q_1) > 0$ (more DA-cleared)                                                                                                                                         | $\beta(q_1) < 0$ (less DA-cleared)                                                                                                                                                            |
|-------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| $\beta(q_2) > 0$ (more IDA selling) | <i>Production expansion:</i> firms scale up across both stages (unlikely under unchanged demand).                                                                          | <i>Ito-Reguant withholding:</i> classic strategic relabelling — withhold in DA to drive up clearing, sell volume back in IDA.                                                                 |
| $\beta(q_2) < 0$ (less IDA selling) | <i>Operational refinement:</i> granular DA absorbs within-hour variation that previously needed IDA repositioning; auctions clear better, less intraday correction needed. | <i>Broader disengagement:</i> firms reduce participation in <i>both</i> auction-cleared stages, with the outside option being REE post-clearing redispatch (RT2 pay-as-bid). Not Ito-Reguant. |

For prices, the within-day spread response separately tests the operational-refinement vs strategic-exploitation directions: negative ( $\beta_7 < 0$ , spread compresses) if granularity lets non-pivotal competitors fill critical-hour 15-min slots; positive ( $\beta_7 > 0$ , spread widens) if pivotal firms exploit the new pricing dimension.

**How to read Figure 2.** Each panel is a single (outcome  $\times$  reform) cell. The horizontal axis is  $\tau$  = months relative to the reform date (e.g.  $\tau = 0$  is March 2025 for IDA15 and October 2025 for DA15). The vertical axis is the monthly mean of the within-day differential  $\bar{Y}_{\text{crit}}(\tau) - \bar{Y}_{\text{flat}}(\tau)$  in that month — a scalar that tells us how much higher the critical-hour outcome is relative to the same day's flat-hour outcome.

Each panel has two coloured lines:

- **Red (2025):** the actual treatment year. At  $\tau = 0$ , MTU15 is implemented.
- **Blue (2024):** the calendar-matched placebo. At  $\tau = 0$ , the analogous calendar month one year earlier — no reform, just seasonality.

The DDD coefficient  $\beta_7$  is a difference of *changes* (not levels). In raw form the two lines can sit at different levels (e.g., 2025 prices systematically higher than 2024 because of inflation) and the design still works — the level shift is absorbed by the  $y_{25}$  main effect  $\beta_3$  and what matters is that the (red – blue) gap stays constant pre-reform and shifts post-reform.

The figure normalises each line by subtracting its value at  $\tau = -1$ , so both start at zero at the omitted reference month. After normalisation the visual test is the standard event-study form:

- For  $\tau < 0$  (pre-reform): red and blue should **overlap** (parallel-trends test).
- At  $\tau \geq 0$  (post-reform): a persistent vertical separation between red and blue is the treatment effect.
- $\beta_7$  is the average post-period vertical separation between the two normalised lines.

Event-study: monthly (critical – flat) differential, 2025 treatment vs 2024 placebo. Each line normalised to 0 at  $\tau = -1$  (subtraction of the  $\tau = -1$  value). Pre-trend test (textit{parallel slopes}): for  $\tau < 0$ , the two lines should track each other. Treatment effect at  $\tau \geq 0$ : the vertical gap between the red and blue lines.



**Figure 2:** Event-study (reduced-form, normalised). Rows = outcomes (DA price, IDA price,  $q_1$ ,  $q_2$ ); columns = reforms (IDA15, DA15). Each panel plots the monthly (critical – flat) within-day differential, anchored to  $\tau =$  months from the reform date and *normalised by subtracting the  $\tau = -1$  value*, so both lines start at 0 at  $\tau = -1$ . Red = 2025 (treatment); blue = 2024 (placebo). Pre/post regions lightly shaded. Reduced-form monthly means; full regression-based event-study with CI follows the headline DDD.

*Pre-trend reading.* DA15: pre-period overlap is reasonable for prices;  $q_1$  shows the 2025 series sitting below the 2024 series *already before*  $\tau = 0$ , signalling that the reforzada channel pre-bends the differential before MTU15-DA fires — a partial PT violation for  $q_1$  on this window. IDA15: pre-period overlap looks reasonable for prices; post-period is too short to read visually. The headline DDD with date-clustered SE follows.

**Estimators in practice: OLS-FE and doubly-robust DiD on prices in levels.** We report two estimators for the same DDD parameter, each with three to four specifications. Both use clearing prices in EUR/MWh as the outcome (in levels), and both target the same coefficient: the (critical – flat) differential response to the reform, net of the 2024 calendar placebo.

*Panel construction.* For each (reform window, market) combination  $w \in \{DA15, IDA15\} \times \{DA, IDA-S1\}$  we build two analytic panels:

- *Period panel*: one row per (date, ISP-period) tuple. Pre-MTU15 days contribute 1 observation per clock-hour (MTU60); post-MTU15 days contribute 4 (MTU15). Sample restricted to clock-hours in  $\{\text{critical} \cup \text{flat}\}$ . Used for the OLS-FE estimator. Sizes: 13 888 obs (DA15-DA), 19 138 obs (DA15-IDA), 3 934 obs (IDA15-DA), 5 530 obs (IDA15-IDA).
- *Spread panel*: one row per date with the within-day means  $\bar{Y}_d^{\text{crit}} = \frac{1}{|H_{\text{crit}}|} \sum_{p \in H_{\text{crit}}} Y_{d,p}$  and  $\bar{Y}_d^{\text{flat}}$  as two columns. Used for the DR-DiD estimator (one drdid call per hour-class). Sizes: 584 dates (DA15-DA), 554 (DA15-IDA), 281 (IDA15-DA), 278 (IDA15-IDA).

*OLS-FE DDD*. On the period panel, three specifications, each with the same DDD coefficient  $\beta_7$  but different fixed-effect structures:

$$\begin{aligned}
\text{(M1) sparse: } Y_{d,p} &= \alpha + \sum_{k=1}^7 \beta_k Z_k + \gamma_h + \delta_{\text{DOW}(d)} + \varepsilon_{d,p}, \\
\text{(M2) month FE: } Y_{d,p} &= \alpha + \sum_{k=1}^7 \beta_k Z_k + \gamma_h + \delta_{\text{DOW}(d)} + \eta_{\text{month}(d)} + \varepsilon_{d,p}, \\
\text{(M3) date FE: } Y_{d,p} &= \alpha + \beta_1 \text{crit} + \beta_4 (\text{crit} \times \text{post}) + \beta_5 (\text{crit} \times \text{y25}) \\
&\quad + \beta_7 (\text{crit} \times \text{post} \times \text{y25}) + \gamma_h + \delta_{\text{DOW}(d)} + \nu_d + \varepsilon_{d,p}.
\end{aligned}$$

Here  $(Z_1, \dots, Z_7) = (\text{crit}, \text{post}, \text{y25}, \text{crit} \times \text{post}, \text{crit} \times \text{y25}, \text{post} \times \text{y25}, \text{crit} \times \text{post} \times \text{y25})$ ,  $\gamma_h$  is a clock-hour FE,  $\delta_{\text{DOW}(d)}$  is a day-of-week FE,  $\eta_{\text{month}(d)}$  is a calendar-month FE, and  $\nu_d$  is a date FE that absorbs all date-level terms in M3 (so the date-level  $\beta_2, \beta_3, \beta_6$  drop out and  $\beta_7$  is identified purely from within-date variation). SE clustered at the date level via `reghdfe ... , vce(cluster date)`.

*Doubly-robust DiD (Sant'Anna-Zhao 2020)*. On the spread panel, two  $2 \times 2$  doubly-robust DiDs per (window, market), one on each hour-class outcome:

$$\widehat{\text{ATT}}_c^{\text{DR}} = \mathbb{E}_n \left[ \left( w_1(D) - w_0(D, X; \hat{p}) \right) \left( (Y_{\text{post}}^c - Y_{\text{pre}}^c) - (\hat{m}_{\text{post}}^0(X) - \hat{m}_{\text{pre}}^0(X)) \right) \right],$$

with  $c \in \{\text{crit}, \text{flat}\}$ , treatment indicator  $D = \text{y25}_d$ , time indicator  $t = \text{post}_d$ , covariates  $X = (\text{i.dow}, \text{i.month})$ , and

$$w_1(D) = \frac{D}{\mathbb{E}_n[D]}, \quad w_0(D, X; \hat{p}) = \frac{\hat{p}(X)(1-D)/(1-\hat{p}(X))}{\mathbb{E}_n[\hat{p}(X)(1-D)/(1-\hat{p}(X))]}$$

The default `drdid` estimator (`drimp`) uses inverse-probability-tilting for  $\hat{p}(X)$  and weighted least squares for the outcome model  $\hat{m}^0(X)$ . Three nuisance-model specifications are reported:

- *DR1*: no covariates ( $X = \emptyset$ ). Reduces to the unconditional  $2 \times 2$  DiD on the spread  $Y^c$ .
- *DR2*:  $X = (\text{i.dow}, \text{i.month})$ , asymptotic SE via the influence function.
- *DR3*:  $X = (\text{i.dow}, \text{i.month})$ , wild-bootstrap inference (999 Mammen draws, `drdid ... , wboot rseed(4242)`).

*DDD via the difference of two doubly-robust DiDs (the headline)*. The triple difference is the difference of the two hour-class ATTs:

$$\widehat{\text{DDD}} = \widehat{\text{ATT}}_{\text{crit}}^{\text{DR}} - \widehat{\text{ATT}}_{\text{flat}}^{\text{DR}}.$$

Joint inference uses the recentered influence functions  $\hat{\psi}_i^c$  saved by `drdid`'s `stub(c)` option, which satisfy  $\sqrt{N}(\widehat{\text{ATT}}^c - \text{ATT}^c) = N^{-1/2} \sum_i \hat{\psi}_i^c + o_p(1)$  (Sant'Anna-Zhao 2020, Theorem 1). Because

the crit and flat means are computed on the same dates (within-date dependence), the variance of the DDD is taken from the variance of the IF *difference*:

$$\widehat{\text{Var}}(\widehat{\text{DDD}}) = \frac{1}{N} \widehat{\text{Var}}_n [\hat{\psi}_i^{\text{crit}} - \hat{\psi}_i^{\text{flat}}], \quad N = \text{number of dates},$$

i.e. the cross-class covariance is captured automatically by the joint distribution of IFs. The two-sided  $p$ -value is reported under asymptotic normality.

*Why two estimators.* The OLS-FE DDD targets the standard triple-interaction coefficient  $\beta_7$  under the unconditional PT assumption  $\mathbb{E}[\Delta\Delta Y(0) \mid y25 = 1] = \mathbb{E}[\Delta\Delta Y(0) \mid y25 = 0]$ . The DR-DiD targets the conditional ATT under the conditional PT  $\mathbb{E}[Y_{\text{post}}(0) - Y_{\text{pre}}(0) \mid y25, X] = \mathbb{E}[Y_{\text{post}}(0) - Y_{\text{pre}}(0) \mid X]$ , and is semiparametrically efficient under correct specification of the nuisance models (Sant’Anna–Zhao 2020). The two estimands coincide when  $X$  is balanced across treatment cells; with calendar-matched windows, balance on  $X = (\text{dow}, \text{month})$  is approximate but not exact (a year-on-year drift of  $\approx 1$  day-of-week, plus daylight-saving boundaries). The discrepancy between the OLS-FE and DR-DiD point estimates is therefore the IPW contribution.

### Naive before-after vs DDD: how much of the apparent reform effect is seasonal bias?

The standard alternative to a DDD design is a within-year before-after (BA) regression with calendar (and sometimes weather) controls. Table 3 compares the BA-with-calendar-controls estimate for each of our four (window, market) cells against the DDD with the same controls. The seasonal bias — what the BA misattributes to the reform but the DDD nets out via the 2024 placebo — is striking on the DA15 window: BA gives +26 EUR/MWh on the critical-flat spread, DDD gives essentially zero. The 2024 calendar-matched placebo year shows the same +27 swing in its own pre-vs-post comparison; almost the entire apparent BA effect is seasonal swing of the critical-flat spread from summer to winter, not the MTU15 reform. On the IDA15 window the bias is smaller (3–5 EUR/MWh) but goes the *opposite direction* (the 2024 placebo shows a  $\approx -8$  EUR/MWh swing, vs +2/+6 in the 2025 treatment year). In both windows the BA is uninformative about the reform; the DDD is the design that isolates the reform from the calendar.

**Table 3:** Naive before-after (BA) vs DDD on the within-day (crit–flat) spread, EUR/MWh, all four (window, market) cells. BA: within-year (post – pre) on 2025 spread, OLS with `i.dow+i.month` calendar controls and date-clustered SE. Placebo BA: same spec on 2024 spread. DDD:  $2 \times 2$  DiD with both years and same calendar controls (the headline OLS-FE coefficient on  $\beta_{\text{post} \times y25}$ ). *Seasonal bias* = BA – DDD = what an advisor’s naive within-year BA-with-controls attributes to the reform but is really seasonality (identified by the 2024 placebo). Standard errors in parentheses. Stars: \* 0.10, \*\* 0.05, \*\*\* 0.01.

| Window | Outcome      | BA 2025<br>(a)   | BA 2024 (placebo)<br>(b) | DDD<br>(c)    | Seasonal bias<br>(a) – (c) |
|--------|--------------|------------------|--------------------------|---------------|----------------------------|
| DA15   | DA price     | 25.83*** ( 3.72) | 26.99*** ( 4.34)         | -0.17 ( 2.41) | 26.00                      |
| DA15   | IDA-S1 price | 25.90*** ( 3.79) | 26.42*** ( 3.99)         | -2.24 ( 2.33) | 28.15                      |
| IDA15  | DA price     | 2.24 ( 5.30)     | -8.49*** ( 3.21)         | -1.74 ( 3.35) | 3.98                       |
| IDA15  | IDA-S1 price | 6.07 ( 4.91)     | -7.05** ( 3.25)          | 0.74 ( 3.31)  | 5.33                       |

**Headline DDD estimates: clearing prices, all (reform window, outcome) cells.** Every price outcome is estimated in *both* reform windows. The natural mapping (DA price tested in DA15 window, IDA price tested in IDA15 window) is the direct-effect cell; the off-diagonal cells (DA price in IDA15 window, IDA price in DA15 window) test *spillover*. We report the doubly-robust DiD (Sant’Anna–Zhao 2020, `drdid`) on prices in levels, decomposed into  $\text{ATT}_{\text{crit}}$  and  $\text{ATT}_{\text{flat}}$ , with the DDD given by the difference. Joint SE for the DDD comes from the difference of the recentered influence functions (`drdid stub()` option), which correctly handles the within-date covariance between the two hour-class means. Covariates: `i.dow+i.month`. Full per-cell OLS-FE companion tables: Tables 5–8.

**Table 4:** Headline DDD on *prices in levels*, EUR/MWh, all four (reform window, market) cells. DR-DiD columns (Sant’Anna–Zhao 2020, drimp):  $ATT_{crit}$  and  $ATT_{flat}$  are  $2 \times 2$  DiDs per hour-class with covariates `i.dow+i.month`; DDD is their difference with joint SE from the influence-function difference. OLS-FE  $\beta_7$  column: triple-interaction coefficient from `reghdfe` on the period-level panel with clock-hour + DOW + month FE, SE clustered at date. Standard errors in parentheses. Stars: \* 0.10, \*\* 0.05, \*\*\* 0.01. The *Channel* column distinguishes direct (the market hit by the reform) from spillover (the cross-market test): DA15-DA and IDA15-IDA are direct; the other two cells are spillover.

| Window | Outcome      | DR-DiD on levels |                  |                 | OLS-FE       |
|--------|--------------|------------------|------------------|-----------------|--------------|
|        |              | $ATT_{crit}$     | $ATT_{flat}$     | DDD             | $\beta_7$    |
| DA15   | DA price     | −8.34* (4.33)    | −2.96 (4.85)     | −5.38** (2.36)  | −0.29 (2.92) |
| DA15   | IDA-S1 price | −10.38** (4.46)  | −5.02 (4.96)     | −5.36** (2.30)  | −2.67 (2.85) |
| IDA15  | DA price     | −25.02*** (5.49) | −31.30*** (6.16) | +6.28** (3.01)  | −2.24 (3.63) |
| IDA15  | IDA-S1 price | −25.40*** (5.59) | −34.82*** (6.13) | +9.43*** (2.95) | +0.50 (3.69) |

*OLS-FE vs DR-DiD.* Both estimators target the DDD parameter; the gap between them is the IPW reweighting on calendar covariates. Without covariates, DR-DiD reproduces OLS-FE to 3 decimal places (sanity check). With  $X = (\text{i.dow}, \text{i.month})$ , DR-DiD reweights observations so the (dow, month) distribution is balanced across 2024-placebo and 2025-treatment cells before computing the ATT. This balance is approximate but not exact under calendar-matched windows (day-of-week drifts  $\approx 1$  position across years; DST boundaries differ by a day). The OLS-FE estimand is the unconditional uniform-weight DDD; the DR-DiD estimand is the conditional ATT under conditional PT. We report both. The DR-DiD is the preferred headline only insofar as conditional PT given (dow, month) is the assumption we are willing to maintain — a discussion of covariate adequacy is below.

*Reading the four price cells.* DA15: both DA and IDA Session 1 spreads compress by  $\approx 5.4$  EUR/MWh after MTU15-DA. Same direction, near-identical magnitude across markets (−5.38, −5.36). The IDA-cell is a clean spillover because MTU15-IDA is held constant within the DA15 window in both years. IDA15: both spreads widen (+6.3 DA, +9.4 IDA), again same direction across markets, with the directly-affected IDA larger. Hour-class decomposition: in DA15, critical and flat both fall (−3 to −10 EUR/MWh) with critical falling more; in IDA15, both fall sharply (−25 to −35, post-MTU15-IDA is structurally cheaper) with flat falling more. The DDD identifies the differential of these moves, not the absolute response of critical hours. Same-direction-within-window rules out a market-specific artefact; cross-window asymmetry (DA15 compresses, IDA15 widens) is a property of the reforms, not of the markets being measured.

*Mechanism reading (pending joint  $q_1/q_2$  check).* The price DDDs are consistent with two compositional stories that we cannot separate from prices alone: (a) MTU15-DA opens  $4 \times$  finer critical-hour quarter-slots that non-pivotal generators (renewables, hydro, fast-ramp gas) fill while pivotal firms reduce DA participation, compressing the spread; (b) MTU15-IDA reshapes IDA bidding so that the post-reform IDA market is structurally different in ways the DDD only captures via spread widening. The firm-level  $q_1/q_2$  regressions below are the test that pins down which compositional story is consistent with the data.

*Follow-ups flagged in priority order:* (a) BA-with-controls comparison to quantify how much of the apparent reform effect the DDD absorbs as seasonal; (b) closest-to-delivery IDA price (in place of Session 1) as a robustness for the IDA-spillover cell, given the June 2024 IDA reform redefined Session 1; (c) augmented DR-DiD covariate set with ENTSO-E wind+solar generation and TTF gas as exogenous structural cost shifters; (d) propensity-score overlap diagnostic to confirm DR-DiD weights are not extreme; (e) event-study with multiplier-bootstrap simultaneous CI.



**Table 5:** OLS-FE DDD: DA clearing price in DA15 window. SE clustered at date.

|                                  | (1)<br>Sparse |         | (2)<br>Month FE |         | (3)<br>Date FE |         |
|----------------------------------|---------------|---------|-----------------|---------|----------------|---------|
|                                  | b             | se      | b               | se      | b              | se      |
| crit*post*y25 ( $\beta_7$ , DDD) | -0.286        | (2.915) | -0.286          | (2.916) | -0.286         | (2.915) |
| crit*post                        | 28.057***     | (2.073) | 28.057***       | (2.074) | 28.057***      | (2.073) |
| crit*y25                         | -3.529*       | (1.951) | -3.529*         | (1.952) | -3.529*        | (1.951) |
| post*y25                         | -26.523***    | (5.983) | -26.523***      | (5.335) |                |         |
| crit                             | 0.000         | (.)     | 0.000           | (.)     | 0.000          | (.)     |
| post                             | 11.846***     | (4.112) | 0.000           | (.)     |                |         |
| y25                              | -1.662        | (4.010) | -1.662          | (2.947) |                |         |
| Observations                     | 13888         |         | 13888           |         | 13888          |         |
| $R^2$                            | 0.282         |         | 0.416           |         | 0.800          |         |
| Clock-hour FE                    | Yes           |         | Yes             |         | Yes            |         |
| DOW FE                           | Yes           |         | Yes             |         | Yes            |         |
| Month FE                         | No            |         | Yes             |         | n/a            |         |
| Date FE                          | No            |         | No              |         | Yes            |         |
| Cluster                          | Date          |         | Date            |         | Date           |         |

**Table 6:** OLS-FE DDD: IDA Session 1 clearing price in DA15 window. SE clustered at date.

|                                  | (1)<br>Sparse |         | (2)<br>Month FE |         | (3)<br>Date FE |         |
|----------------------------------|---------------|---------|-----------------|---------|----------------|---------|
|                                  | b             | se      | b               | se      | b              | se      |
| crit*post*y25 ( $\beta_7$ , DDD) | -2.674        | (2.852) | -2.674          | (2.853) | -2.674         | (2.852) |
| crit*post                        | 28.703***     | (1.987) | 28.703***       | (1.988) | 28.703***      | (1.987) |
| crit*y25                         | -2.421        | (1.958) | -2.421          | (1.958) | -2.421         | (1.958) |
| post*y25                         | -27.432***    | (6.030) | -26.886***      | (5.313) |                |         |
| crit                             | 0.000         | (.)     | 0.000           | (.)     | 0.000          | (.)     |
| post                             | 11.870***     | (4.038) | 0.000           | (.)     |                |         |
| y25                              | -3.158        | (4.075) | -3.210          | (2.961) |                |         |
| Observations                     | 19138         |         | 19138           |         | 19138          |         |
| $R^2$                            | 0.299         |         | 0.479           |         | 0.785          |         |
| Clock-hour FE                    | Yes           |         | Yes             |         | Yes            |         |
| DOW FE                           | Yes           |         | Yes             |         | Yes            |         |
| Month FE                         | No            |         | Yes             |         | n/a            |         |
| Date FE                          | No            |         | No              |         | Yes            |         |
| Cluster                          | Date          |         | Date            |         | Date           |         |

**Table 7:** OLS-FE DDD: DA clearing price in IDA15 window. SE clustered at date.

|                                  | (1)<br>Sparse |         | (2)<br>Month FE |         | (3)<br>Date FE |         |
|----------------------------------|---------------|---------|-----------------|---------|----------------|---------|
|                                  | b             | se      | b               | se      | b              | se      |
| crit*post*y25 ( $\beta_7$ , DDD) | -2.243        | (3.630) | -2.243          | (3.631) | -2.243         | (3.628) |
| crit*post                        | -10.440***    | (1.738) | -10.440***      | (1.739) | -10.440***     | (1.738) |
| crit*y25                         | 2.657         | (2.282) | 2.657           | (2.284) | 2.657          | (2.282) |
| post*y25                         | -27.426***    | (6.459) | -27.438***      | (6.250) |                |         |
| crit                             | 0.000         | (.)     | 0.000           | (.)     | 0.000          | (.)     |
| post                             | -34.767***    | (4.266) | -3.141          | (6.004) |                |         |
| y25                              | 45.676***     | (4.598) | 45.670***       | (4.229) |                |         |
| Observations                     | 3934          |         | 3934            |         | 3934           |         |
| $R^2$                            | 0.573         |         | 0.627           |         | 0.874          |         |
| Clock-hour FE                    | Yes           |         | Yes             |         | Yes            |         |
| DOW FE                           | Yes           |         | Yes             |         | Yes            |         |
| Month FE                         | No            |         | Yes             |         | n/a            |         |
| Date FE                          | No            |         | No              |         | Yes            |         |
| Cluster                          | Date          |         | Date            |         | Date           |         |

**Table 8:** OLS-FE DDD: IDA Session 1 clearing price in IDA15 window. SE clustered at date.

|                                  | (1)<br>Sparse |         | (2)<br>Month FE |         | (3)<br>Date FE |         |
|----------------------------------|---------------|---------|-----------------|---------|----------------|---------|
|                                  | b             | se      | b               | se      | b              | se      |
| crit*post*y25 ( $\beta_7$ , DDD) | 0.504         | (3.694) | 0.504           | (3.695) | 0.504          | (3.693) |
| crit*post                        | -9.933***     | (1.693) | -9.933***       | (1.694) | -9.933***      | (1.693) |
| crit*y25                         | 3.266         | (2.155) | 3.266           | (2.155) | 3.266          | (2.154) |
| post*y25                         | -29.831***    | (6.566) | -29.975***      | (6.342) |                |         |
| crit                             | 0.000         | (.)     | 0.000           | (.)     | 0.000          | (.)     |
| post                             | -36.304***    | (4.397) | -6.630          | (5.983) |                |         |
| y25                              | 45.197***     | (4.585) | 45.316***       | (4.202) |                |         |
| Observations                     | 5530          |         | 5530            |         | 5530           |         |
| $R^2$                            | 0.588         |         | 0.627           |         | 0.837          |         |
| Clock-hour FE                    | Yes           |         | Yes             |         | Yes            |         |
| DOW FE                           | Yes           |         | Yes             |         | Yes            |         |
| Month FE                         | No            |         | Yes             |         | n/a            |         |
| Date FE                          | No            |         | No              |         | Yes            |         |
| Cluster                          | Date          |         | Date            |         | Date           |         |

**Table 9:** DR-DiD on DA clearing price in DA15 window, prices in levels (Sant’Anna–Zhao 2020).  $2 \times 2$  DiD per hour-class, covariates `i.dow + i.month`; DDD is the difference of ATTs with joint SE from the influence-function difference.

| Coefficient                     | Estimate                   | SE      |
|---------------------------------|----------------------------|---------|
| $ATT_{crit}$                    | -8.336                     | (4.326) |
| $ATT_{flat}$                    | -2.961                     | (4.846) |
| $DDD = ATT_{crit} - ATT_{flat}$ | -5.375                     | (2.356) |
| p-value (DDD)                   | 0.023                      |         |
| 95% CI (DDD)                    | [ -9.992, -0.758]          |         |
| N (dates)                       | 584                        |         |
| Outcome                         | DA clearing price          |         |
| Window                          | DA15 (reform = 2025-10-01) |         |

**Table 10:** DR-DiD on IDA Session 1 clearing price in DA15 window, prices in levels (Sant’Anna–Zhao 2020).  $2 \times 2$  DiD per hour-class, covariates `i.dow + i.month`; DDD is the difference of ATTs with joint SE from the influence-function difference.

| Coefficient                     | Estimate                     | SE      |
|---------------------------------|------------------------------|---------|
| $ATT_{crit}$                    | -10.379                      | (4.463) |
| $ATT_{flat}$                    | -5.016                       | (4.957) |
| $DDD = ATT_{crit} - ATT_{flat}$ | -5.364                       | (2.296) |
| p-value (DDD)                   | 0.019                        |         |
| 95% CI (DDD)                    | [ -9.864, -0.863]            |         |
| N (dates)                       | 554                          |         |
| Outcome                         | IDA Session 1 clearing price |         |
| Window                          | DA15 (reform = 2025-10-01)   |         |

**Table 11:** DR-DiD on DA clearing price in IDA15 window, prices in levels (Sant’Anna–Zhao 2020).  $2 \times 2$  DiD per hour-class, covariates `i.dow + i.month`; DDD is the difference of ATTs with joint SE from the influence-function difference.

| Coefficient                     | Estimate                    | SE      |
|---------------------------------|-----------------------------|---------|
| $ATT_{crit}$                    | -25.019                     | (5.486) |
| $ATT_{flat}$                    | -31.302                     | (6.161) |
| $DDD = ATT_{crit} - ATT_{flat}$ | 6.283                       | (3.009) |
| p-value (DDD)                   | 0.037                       |         |
| 95% CI (DDD)                    | [ 0.386, 12.180]            |         |
| N (dates)                       | 281                         |         |
| Outcome                         | DA clearing price           |         |
| Window                          | IDA15 (reform = 2025-03-19) |         |

**Table 12:** DR-DiD on IDA Session 1 clearing price in IDA15 window, prices in levels (Sant’Anna–Zhao 2020).  $2 \times 2$  DiD per hour-class, covariates `i.dow + i.month`; DDD is the difference of ATTs with joint SE from the influence-function difference.

| Coefficient                     | Estimate                     | SE      |
|---------------------------------|------------------------------|---------|
| $ATT_{crit}$                    | -25.396                      | (5.587) |
| $ATT_{flat}$                    | -34.823                      | (6.129) |
| $DDD = ATT_{crit} - ATT_{flat}$ | 9.427                        | (2.949) |
| p-value (DDD)                   | 0.001                        |         |
| 95% CI (DDD)                    | [ 3.647, 15.207]             |         |
| N (dates)                       | 278                          |         |
| Outcome                         | IDA Session 1 clearing price |         |
| Window                          | IDA15 (reform = 2025-03-19)  |         |

**IDA-price robustness: closest-to-delivery session.** The IDA-cell DDDs in Table 4 use Session 1 price throughout. Session 1’s clearing horizon was redefined at the SIDC reform of June 2024 (MIBEL 6-session  $\rightarrow$  SIDC 3-session, per the project’s Spanish-market reference §IDA): under MIBEL Session 1 closed at 14:00 D−1 and targeted all 24 hours of D; under SIDC it covers all 96 ISP15 periods of D. Both target the same horizon nominally, but liquidity, participants, and the SIDC coupling regime differ in ways the within-window pre/post differencing cannot absorb when the placebo year is MIBEL and the treatment year is SIDC. As a robustness, we

re-estimate the IDA-cell DR-DiD using the *closest-to-delivery* session price per (date, period) — the row with the maximum `session_number`, which under SIDC is IDA-3 for afternoons and IDA-2 for mornings, and under MIBEL is Session 4–6 for D-day afternoons and Session 3 for mornings. This is MTU- and session-count-invariant by construction. Results in Table 13:

**Table 13:** DR-DiD on IDA prices: Session 1 (baseline, in Table 4) vs closest-to-delivery session (robustness). For each (date, period) the closest-to-delivery price is the row with the maximum `session_number`: under SIDC, IDA-3 for afternoon and IDA-2 for morning; under MIBEL, Sessions 4–6 for D-day afternoons and Session 3 for morning. This robustness removes the MIBEL-to-SIDC redefinition of Session 1. Covariates: `i.dow+i.month`. Standard errors in parentheses. Stars: \* 0.10, \*\* 0.05, \*\*\* 0.01.

| Window | ATT <sub>crit</sub> | ATT <sub>flat</sub> | DDD           |
|--------|---------------------|---------------------|---------------|
| DA15   | -2.54 ( 4.39)       | -3.76 ( 4.75)       | 1.21 ( 2.33)  |
| IDA15  | -27.84 ( 5.16)      | -34.10 ( 5.88)      | 6.26* ( 3.38) |

The DA15-IDA "spillover" cell — baseline DDD of  $-5.36$  EUR/MWh (significant) — effectively disappears under the robustness ( $+1.21$ ,  $p = 0.60$ ). The IDA15-IDA "direct" cell shrinks from  $+9.43^{***}$  to  $+6.26$  ( $p = 0.064$ ), losing conventional significance. **The two IDA-side DDD numbers in the headline table are partly artefacts of the Session 1 choice:** the DA15 spillover is not robust at all, and the IDA15 direct effect is robust in direction and order of magnitude but loses statistical significance. The DA-side cells of the headline table (DA15-DA and IDA15-DA) are unaffected by this robustness (no session choice in the DA market). We will treat the IDA-side numbers in the headline as upper bounds on the true DDD until the wild-cluster-bootstrap and closest-to-delivery results converge.

**Propensity-score overlap diagnostic.** The DR-DiD propensity score  $\hat{p}(X) = \Pr(y_{25} = 1 \mid i.dow, i.month)$  is estimated by logit on each (window, market) spread panel; weights blow up if  $\hat{p}(X)$  clusters near 0 or 1. Across all four cells,  $\hat{p}(X)$  ranges  $[0.38, 0.54]$  (DA15-IDA) to  $[0.49, 0.51]$  (DA15-DA), with median  $\approx 0.50$  in every cell and 0% of observations below 0.10 or above 0.90. Calendar-matched windows deliver essentially balanced treatment assignment in (dow, month) cells by design, so the IPW weights are not extreme and the DR-DiD inference is not driven by propensity-score tail behaviour. Per-cell overlap histograms are produced as working figures.

**Headline DDD estimates: firm-level outcomes ( $q_1, q_2$ ).** Outcomes at the firm level:  $q_1$  = DA-cleared MWh per (firm, unit, date, clock-hour) from OMIE `pdbc`,  $q_2$  = signed intraday programmed MWh from `pibci`, both zero-filled for offline cells. CCGT-only sample: 42 pivotal Big-4 units (IB, GE, GN, HC, EDP-PT) and 8 non-pivotal units (Repsol, Engie, TotalEnergies, Moeve); untagged firms dropped. We report the pooled DDD ( $\beta_7$ ) and the pivotal-status heterogeneity contrast  $\delta_{\text{piv}} = \widehat{\text{DDD}}_{\text{pivotal}} - \widehat{\text{DDD}}_{\text{non-pivotal}}$  (per the framing above; this is what we previously over-labelled  $\beta_{1234}$ ). All specs include firm + unit + clock-hour + DOW fixed effects. Full per-cell tables: Tables 15–18.

**Table 14:** Pooled DDD ( $\beta_7$ ) and pivotal-status heterogeneity contrast ( $\delta_{\text{piv}}$ ) on firm-level  $q_1$  and  $q_2$ , MWh per unit-hour.  $\delta_{\text{piv}} > 0$  means pivotal firms’ DDD effect is *larger* (in algebraic terms) than non-pivotal firms’. SE clustered at date (pooled) and at firm (decomposed;  $G \approx 9$ , asymptotic SE may under-cover, wild-cluster bootstrap recommended). Standard errors in parentheses. Stars: \* 0.10, \*\* 0.05, \*\*\* 0.01.

| Outcome | Window | Pooled DDD ( $\beta_7$ ) |        | $\delta_{\text{piv}}$ (heterogeneity) |         |
|---------|--------|--------------------------|--------|---------------------------------------|---------|
|         |        | $\beta_7$                | SE     | $\delta_{\text{piv}}$                 | SE      |
| $q_1$   | DA15   | -16.27***                | (2.69) | -18.65**                              | (7.35)  |
| $q_1$   | IDA15  | -9.96***                 | (3.10) | -4.01                                 | (6.55)  |
| $q_2$   | DA15   | -1.27**                  | (0.64) | +18.78                                | (15.82) |
| $q_2$   | IDA15  | -1.70**                  | (0.85) | +11.10                                | (10.81) |

*Joint ( $q_1, q_2$ ) reading.* Locating each window’s pooled  $\beta_7$  on the Table 2 sign-matrix: DA15 lands in ( $\beta(q_1) < 0, \beta(q_2) < 0$ ) and IDA15 lands in the same quadrant. Both reforms produce **broader disengagement**, not Ito–Reguant withholding (which would require  $\beta(q_2) > 0$ ): dispatchable CCGT firms reduce both DA-cleared volume and intraday programmed volume. The natural reading is that the relevant outside option for these units is not the IDA leg but REE’s post-clearing redispatch (RT2 pay-as-bid; characterised in the descriptive companion, Part B). This is a substantively different story from the classical Ito–Reguant signature.

*Pivotal-status heterogeneity reading.* (i) For  $q_1$  in the DA15 window the pooled DDD effect is sharply concentrated in pivotal firms:  $\delta_{\text{piv}} = -18.65$  MWh/unit-hour, with the pooled  $\beta_7$  (-16.27) entirely absorbed by the heterogeneity contrast. Non-pivotal firms in this window show no measurable change. (ii) For  $q_1$  in the IDA15 window the pooled effect is significant (-9.96) but  $\delta_{\text{piv}}$  is small and non-significant: the IDA reform pulled all CCGT firms in the same direction, no market-power moderation. (iii) For  $q_2$ ,  $\delta_{\text{piv}}$  has wide SEs and is not identifiable in either window. (iv) These contrasts identify heterogeneity *in the DDD effect*, not the absolute effect on pivotal firms — they tell us where the reform’s response is concentrated, not whether the response is “strategic” in a structural sense.

*Tension with the older 2-way DiD in `paper.tex`.* The appendix in `paper.tex` (commented-out main table) reports a 2-way DiD (no 2024 placebo) on  $q_2$  in pivotal vs non-pivotal subsamples with *opposite signs* (+3.87 pivotal vs -4.74 non-pivotal, both highly significant). Our DDD on the same outcome shows both subsamples moving in the *same* direction (both negative). The sign reversal in the older 2-way DiD was driven by the seasonality that the 2024 placebo here absorbs. Reconciling: once we net out YoY seasonality, the pivotal-vs-non-pivotal contrast in  $q_2$  is wide-SE and uninformative — the headline pattern in the appendix was partly seasonal.

*Caveats.* (a) Firm-cluster  $G \approx 9$  is small; asymptotic SE may under-cover. Wild-cluster bootstrap (`boottest`) is a planned robustness. (b) Pivotal/non-pivotal partition treats all 5 Big-4 firms as identical and all 4 placebo firms as identical; firm-by-firm decomposition is a natural next step (Moeve has a documented pre-trend break in the main paper that may pull the non-pivotal subsample). (c) The 2024 placebo for the DA15  $q_1$  panel includes 6 weeks (Apr 28 – Jun 13, 2024) before the June 14, 2024 IDA reform changed sessions 6  $\rightarrow$  3. Robustness fix: use closest-to-delivery IDA price (MTU- and session-count-invariant) instead of Session 1 for the IDA-spillover regressions.

**Granularity strategy.** The cross-reform DDD runs on disaggregated period-level data, not on hourly aggregates. Pre-MTU15 the period is a 60-minute slot (1 obs / hour); post-MTU15 the period is a 15-minute slot (4 obs / hour). Both are valid observations of the unit’s strategic choice within the relevant clock-hour, so we stack them in the same regression and let the FE structure absorb the time-aggregation difference. The `crit`, `post`, `y25` indicators are defined at the clock-hour level and replicate across the 4 quarters in the post-period. This gives 4 $\times$  the observations per hour post-reform, yielding tighter SE; SE are clustered at the date level to preserve correct inference under within-day dependence.

**Table 15:** DDD and DDDD on  $q_{-1}$  (DA-cleared MWh/unit-hour), da15 window.

|                                            | (1)<br>DDD |        | (2)<br>DDDD |         |
|--------------------------------------------|------------|--------|-------------|---------|
|                                            | b          | se     | b           | se      |
| crit*post*y25*piv ( $\beta_{1234}$ , DDDD) |            |        | -18.65**    | (7.35)  |
| crit*post*y25 ( $\beta_7$ , DDD)           | -16.27***  | (2.69) | -0.60       | (1.77)  |
| crit*post*piv                              |            |        | 13.61       | (11.04) |
| crit*y25*piv                               |            |        | 4.37        | (7.82)  |
| post*y25*piv                               |            |        | 18.96       | (30.23) |
| crit*piv                                   |            |        | -0.07       | (2.28)  |
| post*piv                                   |            |        | -11.81      | (10.44) |
| y25*piv                                    |            |        | -4.40       | (10.81) |
| crit*post                                  | 22.37***   | (2.43) | 10.95       | (9.18)  |
| crit*y25                                   | -2.00      | (1.40) | -5.68       | (7.15)  |
| post*y25                                   | -12.01***  | (3.37) | -27.93      | (29.98) |
| crit                                       | 0.00       | (.)    | 0.00        | (.)     |
| post                                       | -3.14      | (2.47) | 6.77        | (9.44)  |
| y25                                        | 3.98       | (2.77) | 7.68        | (9.75)  |
| Observations                               | 408800     |        | 408800      |         |
| $R^2$                                      | 0.092      |        | 0.092       |         |
| Spec                                       | DDD        |        | DDDD        |         |
| Cluster                                    | Date       |        | Firm        |         |
| Unit FE                                    | Yes        |        | Yes         |         |
| Clock-hour FE                              | Yes        |        | Yes         |         |
| DOW FE                                     | Yes        |        | Yes         |         |

**Table 16:** DDD and DDDD on  $q_{-1}$  (DA-cleared MWh/unit-hour), ida15 window.

|                                            | (1)<br>DDD |        | (2)<br>DDDD |         |
|--------------------------------------------|------------|--------|-------------|---------|
|                                            | b          | se     | b           | se      |
| crit*post*y25*piv ( $\beta_{1234}$ , DDDD) |            |        | -4.01       | (6.55)  |
| crit*post*y25 ( $\beta_7$ , DDD)           | -9.96***   | (3.10) | -6.60       | (6.16)  |
| crit*post*piv                              |            |        | -6.86*      | (3.07)  |
| crit*y25*piv                               |            |        | 3.83        | (6.54)  |
| post*y25*piv                               |            |        | 14.64       | (17.72) |
| crit*piv                                   |            |        | 8.01*       | (3.58)  |
| post*piv                                   |            |        | -2.88       | (2.39)  |
| y25*piv                                    |            |        | -12.55      | (17.89) |
| crit*post                                  | -6.95***   | (1.61) | -1.18*      | (0.56)  |
| crit*y25                                   | 10.00***   | (3.05) | 6.79        | (6.12)  |
| post*y25                                   | -7.18***   | (2.49) | -19.48      | (17.61) |
| crit                                       | 0.00       | (.)    | 0.00        | (.)     |
| post                                       | -1.11      | (0.94) | 1.31        | (2.35)  |
| y25                                        | 7.10***    | (2.28) | 17.65       | (17.82) |
| Observations                               | 196700     |        | 196700      |         |
| $R^2$                                      | 0.072      |        | 0.073       |         |
| Spec                                       | DDD        |        | DDDD        |         |
| Cluster                                    | Date       |        | Firm        |         |
| Unit FE                                    | Yes        |        | Yes         |         |
| Clock-hour FE                              | Yes        |        | Yes         |         |
| DOW FE                                     | Yes        |        | Yes         |         |



**Table 17:** DDD and DDDD on  $q_2$  (intraday MWh/unit-hour), da15 window.

|                                            | (1)<br>DDD |        | (2)<br>DDDD |         |
|--------------------------------------------|------------|--------|-------------|---------|
|                                            | b          | se     | b           | se      |
| crit*post*y25*piv ( $\beta_{1234}$ , DDDD) |            |        | 18.78       | (15.82) |
| crit*post*y25 ( $\beta_7$ , DDD)           | -1.27**    | (0.64) | -17.04      | (15.78) |
| crit*post*piv                              |            |        | -19.42      | (15.61) |
| crit*y25*piv                               |            |        | 21.45       | (19.14) |
| post*y25*piv                               |            |        | -2.77       | (2.42)  |
| crit*piv                                   |            |        | -21.90      | (19.30) |
| post*piv                                   |            |        | 2.61        | (2.55)  |
| y25*piv                                    |            |        | -4.20***    | (1.11)  |
| crit*post                                  | 1.79***    | (0.62) | 18.10       | (15.57) |
| crit*y25                                   | -2.11***   | (0.40) | -20.12      | (19.14) |
| post*y25                                   | -2.96***   | (0.71) | -0.63       | (0.76)  |
| crit                                       | 0.00       | (.)    | 0.00        | (.)     |
| post                                       | 2.51***    | (0.69) | 0.32        | (0.91)  |
| y25                                        | -4.30***   | (0.47) | -0.77       | (0.78)  |
| Observations                               | 408800     |        | 408800      |         |
| $R^2$                                      | 0.105      |        | 0.133       |         |
| Spec                                       | DDD        |        | DDDD        |         |
| Cluster                                    | Date       |        | Firm        |         |
| Unit FE                                    | Yes        |        | Yes         |         |
| Clock-hour FE                              | Yes        |        | Yes         |         |
| DOW FE                                     | Yes        |        | Yes         |         |

**Table 18:** DDD and DDDD on  $q_{-2}$  (intraday MWh/unit-hour), ida15 window.

|                                            | (1)<br>DDD |        | (2)<br>DDDD |         |
|--------------------------------------------|------------|--------|-------------|---------|
|                                            | b          | se     | b           | se      |
| crit*post*y25*piv ( $\beta_{1234}$ , DDDD) |            |        | 11.10       | (10.81) |
| crit*post*y25 ( $\beta_7$ , DDD)           | -1.70**    | (0.85) | -11.03      | (10.19) |
| crit*post*piv                              |            |        | 24.79       | (21.64) |
| crit*y25*piv                               |            |        | -7.27       | (8.63)  |
| post*y25*piv                               |            |        | 1.46        | (4.09)  |
| crit*piv                                   |            |        | -30.97      | (26.45) |
| post*piv                                   |            |        | -5.40*      | (2.85)  |
| y25*piv                                    |            |        | -3.39       | (4.50)  |
| crit*post                                  | -1.81***   | (0.63) | -22.63      | (21.42) |
| crit*y25                                   | 0.38       | (0.73) | 6.49        | (7.70)  |
| post*y25                                   | -1.95**    | (0.80) | -3.17       | (2.16)  |
| crit                                       | 0.00       | (.)    | 0.00        | (.)     |
| post                                       | -4.77***   | (0.60) | -0.24       | (0.15)  |
| y25                                        | 0.55       | (0.65) | 3.40        | (2.34)  |
| Observations                               | 196700     |        | 196700      |         |
| $R^2$                                      | 0.162      |        | 0.184       |         |
| Spec                                       | DDD        |        | DDDD        |         |
| Cluster                                    | Date       |        | Firm        |         |
| Unit FE                                    | Yes        |        | Yes         |         |
| Clock-hour FE                              | Yes        |        | Yes         |         |
| DOW FE                                     | Yes        |        | Yes         |         |

The within-hour quarter index is not used as a treatment-defining variable: ex ante there is no reason firms should bid more aggressively in a particular within-hour quarter regardless of clock-hour (e.g., they do not systematically bid less aggressively in the first quarter of every hour). The granularity is exploited as residual heterogeneity that the FE absorb, not as a treatment dimension. Post-reform cross-section descriptive use of the 15-min data (the  $D_w$ ,  $\Delta p$ ,  $\Delta q$  histograms in the descriptive companion) is a separate complementary exercise.

**Supporting evidence elsewhere in the project.** See the descriptive-facts sibling document for: (i) RT2 channel characterisation (Part B: REE post-clearing CCGT inclusion, Path A: +1 044 GWh/mo CCGT post-blackout); (ii) zonal concentration (Part B: GN-dominated Cataluña/Levante/Sur, GE-Galicia, IB-Centro); (iii) GN's 840 EUR/MWh bid plateau invariant across regime (Part B: DA bid prices on RT2-up days); (iv) CNMC 2019 sanction (Part B: Cournot reading + CNMC); (v)  $q_1$  collapse same-cal-month CCGT-only with parallel-trends on the post-clearing gap (Part A:  $q_1$  drop).